

Result Update || Current Market Price – Rs 1,155 || Target Price – Rs 1,497 || Upside –30% || Date: 24th April 2026

Transitioning from AI Experimentation to Realization

Key Investment Thesis

- **Topaz Integration & Developer Scale:** Infosys is shifting its AI strategy from proof-of-concept to enterprise scale through its Topaz fabric platform, which addresses six core AI areas including Strategy & Engineering, Process AI, and Legacy Modernization. To ensure rapid implementation, the company has aggressively scaled its internal capabilities, deploying GitHub Copilot across more than 30,000 developers.
- **Deepening Ecosystem Partnerships:** To capitalize on the Generative AI wave and transition clients from experimentation to production, Infosys has forged strategic alliances with leading AI innovators such as Anthropic, OpenAI, Google Gemini, NVIDIA, and Microsoft. These partnerships enable the delivery of high-value, AI-native solutions to complex, regulated industries.
- **Tangible Client Outcomes:** The transition to realization is evidenced by highly measurable client successes. For instance, Infosys enabled Hertz to modernize 3 million lines of Cobol to micro-services 60% faster and at a 60% lower cost, while helping Ralph Lauren boost customer engagement by 50% through conversational AI. Furthermore, BP has initiated 50 AI-agent projects leading to 95% payment accuracy and 50% faster contract validation.
- **Record Deal Bookings Fuelling Future AI Deployment:** The company secured a record USD 14.9 billion in large deal TCV for FY26, representing a 24% YoY growth, with 55% being net-new deals. This massive backlog—which includes an industry-first large AI-first GCC deal for a US regional bank—provides a fertile foundation to embed AI-led transformations into long-term enterprise contracts.

Outlook – Infosys' outlook is defined by its transition toward AI-led value creation and realization-led growth, effectively navigating a volatile macro environment. This evolution is underpinned by a confident FY27 revenue guidance band of 1.5%-3.5% CC, which explicitly absorbs known structural headwinds such as a 75-100 bps drag from a European manufacturing client ramp-down and further onsite-mix reductions. Furthermore, disciplined margin execution through Project Maximus (value-based selling and lean automation) allows the company to project a stable 20%-22% operating margin for FY27 while absorbing critical investments in AI capabilities and talent. As Infosys continues to capture downstream enterprise AI spending with its Topaz platform, it remains well-positioned to counterbalance deflationary pressures in traditional IT services.

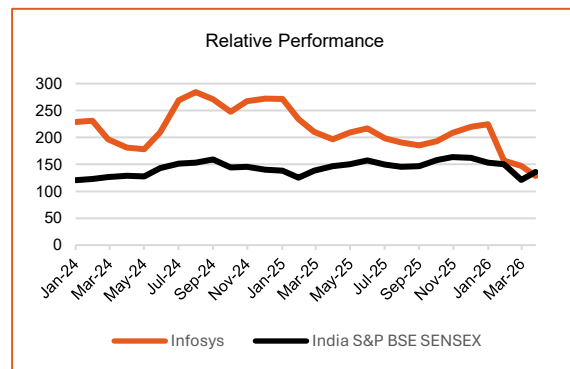
Valuation – We project Infosys's Revenue / EBITDA / PAT CAGR at 5.5% / 7.7% / 5.3% over FY26-28E, navigating near-term onsite-mix shifts and European manufacturing headwinds. Supported by the Topaz AI fabric and efficiencies from Project Maximus, we expect the company to comfortably sustain its 20%-22% operating margin guidance while funding new AI capabilities. We value the stock at 20x FY28E EPS of INR 78.8, which translates to a Target Price of INR 1,497 per share, implying a 30% upside from the current market price.

and Particulars	
CMP	1,155
Market Cap (Cr)	4,68,383
Free Float Market Cap (Cr)	4,03,732
52 Week High / Low	1,728/1,153
Avg Daily Vol (1yr) shares	95,84,444
No. of Shares (Cr.)	406

Key Financials	FY26	FY27E	FY28E
Revenue	17,86,500	18,99,379	20,44,801
EBITDA	4,22,788	4,55,851	4,90,752
EBITDA (%)	23.7%	24.0%	24.0%
PAT	2,94,738	3,02,024	3,27,018
No. of Shares	4,144	4,144	4,144

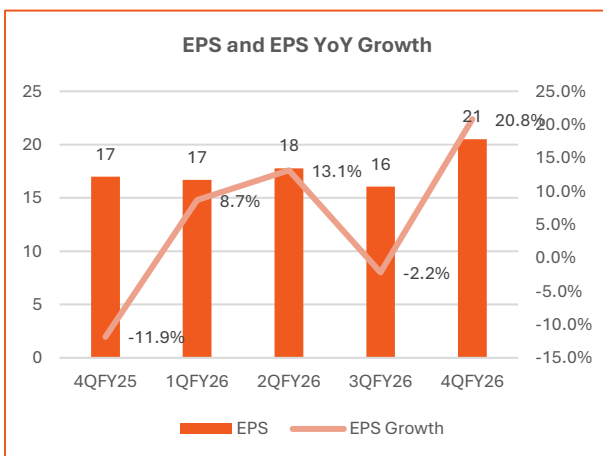
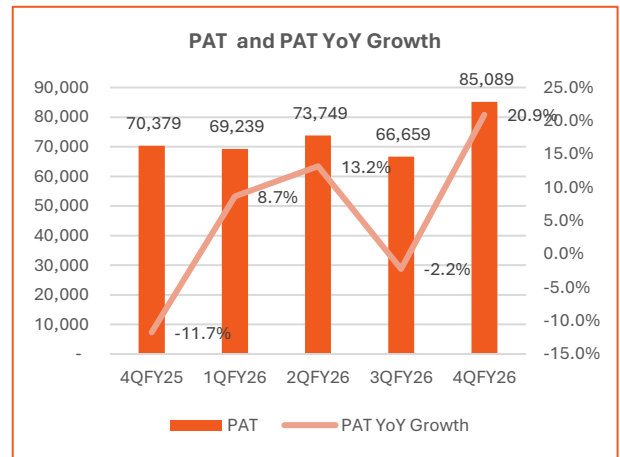
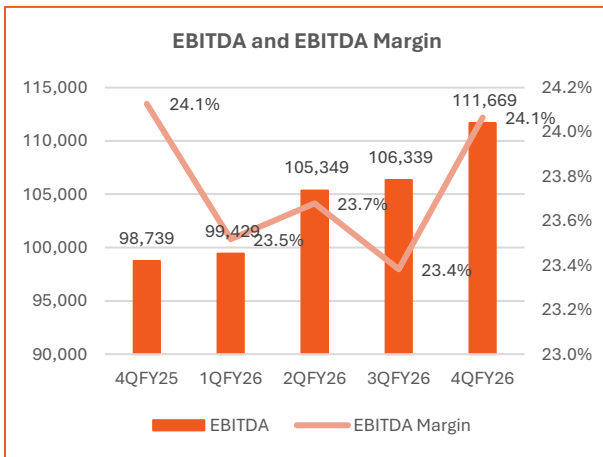
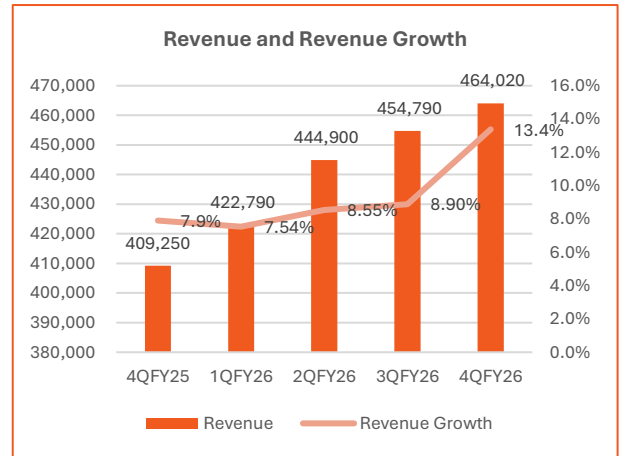
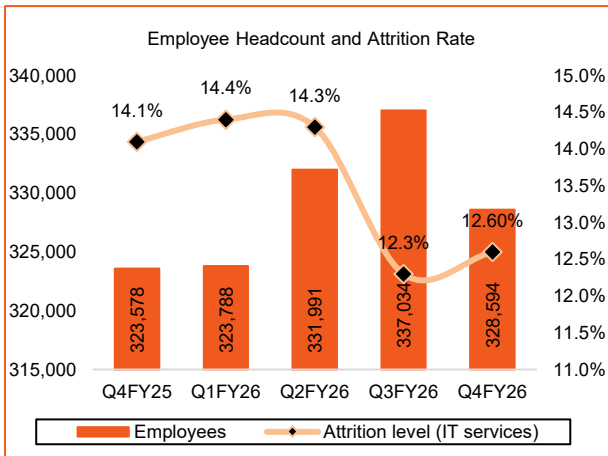
Multiples	FY26	FY27E	FY28E
EPS	71.0	72.8	78.8
ROE (x)	31.2%	30.8%	30.2%
EV/EBITDA	15.5	13.7	12.6

Holding	Sep-25	Dec-25	March-26
Promoters	14.3	14.5	14.4
FII	30.1	30.3	28.5
DII	41.7	41.3	43.4
Others	13.9	13.9	13.7
TOTAL	100	100	100



Source: Company Research, Deven Choksey Research

Story in Charts



Source: Company Research, Deven Choksey Research

Result Snapshot

Particulars (INR Mn)	Q4FY26	Q3FY26	Q4FY25	QoQ	YoY
Revenue	4,64,020	4,54,790	4,09,250	2.0%	13.4%
Total Expenditure	3,52,351	3,48,451	3,10,511	1.1%	13.5%
Employee Benefit Expenses	2,46,880	2,41,220	2,20,150	2.3%	12.1%
Cost of Revenue	1,05,471	1,07,231	90,361	-1.6%	16.7%
EBITDA	1,11,669	1,06,339	98,739	5.0%	13.1%
EBITDA Margin (%)	24.1%	23.4%	24.1%	68 bps	-6 bps
Depreciation	14,240	11,550	12,030	23.3%	18.4%
EBIT	97,429	94,789	86,709	2.8%	12.4%
EBIT Margin (%)	21.0%	20.8%	21.2%	15 bps	-19 bps
Finance Cost	1,050	1,000	1,010	5.0%	4.0%
Other Income	11,590	11,390	8,590	1.8%	34.9%
Profit before tax	1,07,969	1,05,179	94,289	2.7%	14.5%
Tax	22,880	25,630	28,480	-10.7%	-19.7%
Net profit	85,009	79,429	65,649	7.0%	29.5%
Net profit margin (%)	18.3%	17.5%	16.0%	86 bps	228 bps
EPS	20.5	16.1	16.4	27.8%	24.9%

Source: Company Research, Deven Choksey Research

Conference Call Highlights

Demand & Outlook — FY27 Guidance

- FY27 revenue guidance 1.5–3.5% CC — narrower 200-bps band (vs 3-point band last year), reflecting better environment visibility. Includes Missing Link acquisition (closed this week); excludes Versen JV + Optimum Healthcare.
- FY27 operating margin guidance 20–22% — headwinds from wage hikes, productivity pass-throughs, AI investments; offset by Project Maximus. Optimum Healthcare post-closure to dilute margin by ~0.7% on full-year annualised basis.
- Structural headwinds baked into guidance: -75 to -100 bps from one European manufacturing client (ramp-down + conscious walk-away from non-return-accretive deal); -75 to -100 bps from further onsite-mix reduction (40–50 bps already visible in Q4 exit trajectory). Underlying organic growth implied at ~4.25–4.50%.

Vertical & Geography Performance

- FY26 vertical growth: Communications, Manufacturing, Europe grew >2x company avg on large-deal ramp-ups. FS +4.4% YoY (above avg, AI-led transformation + vendor consolidation). 18 of top-20 FS clients = strategic AI partner.
- Q4 vertical growth: Communications, URS, LS all grew well-above company avg YoY CC. Manufacturing cautious on auto/Europe, tariff + Middle-East impact; Retail muted consumer demand; Communications budgets flat to negative.
- URS stand-out: 80% of FY26 URS TCV was net-new — sets up FY27 growth acceleration. Utilities demand structurally higher on grid constraints, renewables, data-centre electricity needs.

Large Deals & Bookings

- FY26 TCV USD 14.9 bn (+24% YoY) across 96 deals, 55% net-new, 3 mega deals. Q4 TCV USD 3.2 bn across 19 large deals (5 FS, 5 Mfg, 4 Retail, 2 LS, 2 Comms, 1 EURS). Geo split: 11 Europe, 5 Americas, 3 RoW.
- Large-deal pipeline robust. Included industry-first large AI-first GCC deal for a US regional bank. Net-new % dip vs prior years reflects denominator effect, not capability issue — absolute net-new TCV up +25% YoY.

AI Strategy & Partnerships

- TOPAS fabric platform (launched at AI Investor Day) addresses six AI service areas: AI Strategy & Engineering, Data, Process, Legacy Modernization, Physical AI, Trust.
- Strategic AI partnerships: Anthropic, OpenAI, Google Gemini, NVIDIA, Microsoft, AWS, Google Cloud, Intel. 30,000+ developers deployed on GitHub Copilot.
- Marquee AI deployments: Ralph Lauren (+12% revenue / +50% engagement via conversational AI); Hertz (3mn lines Cobol → micro-services at 60% lower cost, 60% faster); BP (50 AI-agent initiatives — 95% payment accuracy, 50% faster contract validation, +18% IT ops efficiency).
- AI services economics: AI projects come in at better pricing and better gross margin than core services, but carry higher cost (premium talent). Premium directly tied to being ahead of the curve.

Operational & Capital

- Headcount 328,000+ (FY26 exit); voluntary attrition 12.6% (-1.5 ppt YoY); utilisation ex-trainees 83% Q4 / 84.4% FY26. FY27 freshers ~20,000 (same as FY26). No plan for headcount reduction.
- DSO 78 days (billed + unbilled net of unearned) — lowest in 7 years. Onsite mix 22.8% (-30 bps QoQ); further reduction of 40–50 bps expected in FY27 exit trajectory.
- FY26 capital return > USD 4 bn; Final dividend INR 25/share — total FY26 DPS INR 48 (+11.6% YoY). ROE 31.6%; adjusted FCF/NI 106% FY26 (111% Q4). FY27 ETR guided 29–30%.

Key Risks & Research Caveats

- AI compression path unquantified — management declined to split gross-growth vs compression; no framework for buy-side to model deflation-adjusted bookings-to-revenue bridge.
- AI-services revenue not disclosed despite strong qualitative emphasis — contrast vs HCL Tech's USD 155 mn Q4 Advanced-AI disclosure.
- European manufacturing client identity, duration, FY28 recovery undisclosed — 75–100 bps FY27 drag but no visibility beyond.
- Wage hike timing for FY27 not decided — introduces margin-phasing uncertainty.

Key Financials

Exhibit 1: Profit & Loss Statement

INR Mn	FY25	FY26	FY27E	FY28E
Revenues	16,29,900	17,86,500	18,99,379	20,44,801
Employee Benefit Expenses	8,59,490	9,50,950	10,06,671	10,83,745
Cost of Revenue	3,78,062	4,12,762	4,36,857	4,70,304
Total Expenses	12,37,552	13,63,712	14,43,528	15,54,049
EBITDA	3,92,348	4,22,788	4,55,851	4,90,752
EBITDA Margin	24.1%	23.7%	24.0%	24.0%
D&A	48,110	49,010	57,676	58,838
EBIT	3,44,238	3,73,778	3,98,175	4,31,915
Interest expense	4,160	4,160	4,200	4,200
Other income	35,990	43,220	30,000	33,000
PBT	3,76,068	3,99,948	4,23,975	4,60,715
Tax	1,08,570	1,05,210	1,21,951	1,33,697
PAT	2,67,498	2,94,738	3,02,024	3,27,018
EPS (INR)	64.5	71.0	72.8	78.8

Exhibit 3: Cash Flow Statement

INR Mn	FY25	FY26	FY27E	FY28E
CFFO	3,56,918	3,39,860	4,33,657	3,65,584
CFFI	(19,460)	19,460	(91,786)	(94,986)
CFFF	(2,41,610)	(3,97,860)	(2,03,055)	(2,15,487)
Change in Capital	95,848	1,42,040	1,38,816	55,112
Closing Cash	2,44,550	3,86,590	5,25,406	5,80,517

Source: Company Research, Deven Choksey Research

Exhibit 2: Balance Sheet

INR Mn	FY25	FY26	FY27E	FY28E
Equity				
Equity Capital	20,730	20,240	20,240	20,240
Other Equity	9,41,300	9,12,730	10,11,700	11,23,231
Total Equity	9,62,030	9,32,970	10,31,940	11,43,471
Non-Current Liabilities				
DTL	17,220	16,790	16,790	16,790
Lease liabilities	57,720	60,160	60,160	60,160
Other Liabilities	23,560	26,530	26,530	26,530
Total Non-Current Liabilities	98,500	1,03,480	1,03,480	1,03,480
Current Liabilities				
Capital Lease Obligations	24,550	31,600	31,600	31,600
Other Financial Liabilities	1,81,380	2,14,830	2,14,830	2,14,830
Trade Payables	41,640	47,440	47,458	51,092
Other current liabilities	1,80,930	2,29,350	3,13,102	3,20,672
Total Current Liabilities	4,28,500	5,23,220	6,06,990	6,18,194
Total Liabilities and Equity	14,89,030	15,59,670	17,42,410	18,65,145
Non-Current Assets				
Net Fixed Assets	1,25,920	1,31,770	99,230	85,378
Investments	1,10,590	89,300	89,300	89,300
Other Non Current Assets	1,55,610	1,71,940	2,04,480	2,18,332
Total Non-Current Assets	3,92,120	3,93,010	3,93,010	3,93,010
Current Assets				
Cash & Cash Equivalents	2,44,550	2,22,010	5,25,406	5,80,517
Trade Receivables	3,11,580	3,52,340	3,59,061	3,86,551
Other Current Assets	4,14,860	4,60,540	3,65,704	4,19,688
Total Current Assets	9,70,990	10,34,890	12,50,170	13,86,757
Total Assets	14,89,030	15,59,670	17,42,410	18,65,145

Infosys Ltd				Rating Legend (Expected over a 12-month period)	
Date	CMP (INR)	TP(INR)	Recommendation	Our Rating	Upside
24-Apr-26	1,155	1,497	BUY	Buy	More than 15%
15-Jan-26	1,609	1,852	BUY	Accumulate	5% – 15%
17-Oct-25	1,472	1,770	BUY	Hold	0 – 5%
24-Jul-25	1,575	1,830	BUY	Reduce	-5% – 0
21-Apr-25	1,428	1,701	BUY	Sell	Less than – 5%
17-Jan-25	1,815	2,154	BUY		

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